A STUDY ON

IMPACT OF UPI AND DIGITAL PAYMENTS ON THE GROWTH OF CASHLESS ECONOMY

BY

JOBINS JOSEPH

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DR. REJIKUMAR G.



MASTER OF BUSINESS ADMINISTRATIONAMRITA VISHWA VIDYAPEETHAM

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CERTIFICATE

This is to certify that the project entitled "THE IPPACT OF UPI AND DIGITAL PAYMENTS ON THE GROWTH OF CASHLESS ECONOMY" has been successfully completed by Mr. JOBINS JOSEPH, Roll No: AA.BU.P2MBA24076047*, in partial fulfilment of requirements for the award of the Master of Business Administration degree, under my guidance during the academic year 2024-2026.*

Date: 07-08-2026

DR. REJIKUMAR.G

Internal Faculty Guide

DECLARATION

I, Mr. JOBINS JOSEPH, roll no. AA.BU.P2MBA24076047, *hereby declare that this report on "THE IMPACT OF UPI AND DIGITAL PAYMENTS ON THE GROWTH OF CASHLESS ECONOMY", is my original work. I further declare that this report is based on the information collected by me and has not been previously submitted in any other University or academic body.*

Date:07-08-2026

MR. JOBINS JOSEPH



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I express my sincere gratitude to all those who have supported me in the completion of this project.

First and foremost, I would like to thank Amrita Vishwa Vidyapeetham for providing me the opportunity to pursue this MBA program. I am deeply indebted to my Internal Faculty Guide, DR. REJIKUMAR G, for his constant guidance, support, and encouragement throughout the course of this study. I also extend my thanks to all the respondents who took time to fill the questionnaire and provided valuable information for my study. Finally, I thank my family and friends for their continuous support and motivation.

MR JOBINS JOSEPH

EXECUTIVE SUMMARY

This project tries to understand how UPI and other digital payment options are changing the way people pay in India and how this is supporting a cashless economy.

For this study, I collected responses from 120 people through a Google Form. The respondents were from different age groups, jobs, and locations including urban, semi-urban and rural areas. I used simple percentage analysis and Chi-Square test to check if factors like age or gender make any difference in payment habits.

Most people who answered said they use UPI almost daily, mainly Google Pay and PhonePe. They feel digital payments are faster and more convenient than cash and they also feel the security features like UPI PIN and OTP are trustworthy. Many also said that UPI has increased cashless payments in their area.

At the same time, some common problems came up. Many faced failed transactions, some had seen fraud or scam attempts, and a few were worried about their data privacy. Internet issues in rural areas was another challenge mentioned.

The Chi-Square tests showed no strong relation between gender or age and digital payment usage or perception. It means people across different groups are using and feeling almost similarly about digital payments.

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CHAPTER 1

INTRODUCTION

INTRODUCTION

1.1 Introduction To Study

The way we handle money has changed a lot in the last few years. Carrying cash for every little purchase just isn't necessary anymore. Digital payments have basically become part of daily life without most people even noticing the shift happening. In India specifically, this change has been driven mostly by UPI, along with other options like mobile wallets, cards, and internet banking.

A cashless economy, in simple terms, is one where most money moves electronically instead of through notes and coins. India has been pushing toward this fairly aggressively, especially since the 2016 demonetization forced a lot of people and businesses to try digital payments whether they wanted to or not. Government programs like Digital India, combined with cheap smartphones and better internet, kept that momentum going afterward.

UPI in particular changed things. It let people move money between bank accounts instantly, just through a phone, without the usual hassle. Because it was simple, fast, and free to use, it caught on fast — from street vendors to large businesses, pretty much everyone ended up using it in some form.

This shift hasn't just made paying for things easier it's changed how people actually spend. When transactions are this frictionless, people naturally end up paying more often, and cash starts feeling like the more inconvenient option. More people lean on digital platforms for everyday spending now, and that's steadily cutting down how much anyone relies on physical cash.

That said, this convenience comes with its own baggage. When money isn't physically leaving your hand, it's easier to lose track of what you're spending which can nudge people toward impulse purchases without really registering it. Trust, security, and general awareness also end up shaping whether someone actually sticks with digital payments long-term, or drifts back to cash.

None of this means digital payments are problem-free, though. Cybercrime, low digital literacy in some areas, and patchy infrastructure still hold back full adoption of a cashless system. Actually it’s good to know what digital payments are getting right, and where they're still falling short.

This study is really about examining that bigger picture: how UPI and digital payments are pushing India toward a cashless economy, with a specific focus on consumer behaviour, spending habits, and what actually drives people's payment choices. The aim is to understand how all this connects to financial decision-making and, more broadly, to the country's economic growth.

1.2 Digital Payments and Their Role in a Cashless Economy

Digital payments cover any transaction that happens electronically instead of through physical cash UPI, wallets, debit and credit cards, and internet banking all fall under this. As more people adopt these methods, they end up playing a direct role in pushing a country toward becoming cashless.

Convenience is probably the biggest draw here. You can pay from wherever you are, whenever you need to, without worrying about carrying change. Speed matters too transactions clear almost instantly, which saves time on both ends, for the person paying and the person getting paid.

There's a transparency angle as well. Every digital transaction leaves behind a record, which naturally makes it harder to hide money and easier to track for tax purposes. Better security features on top of that, things like OTPs and PINs give people more confidence to actually use these systems regularly.

UPI specifically has done a lot of the heavy lifting here. It was simple enough that even first-time users, including people in villages with no prior banking app experience, could figure it out quickly. That accessibility is a big reason it's become such a central piece of India's move toward a cashless system.

1.3 Impact of Digital Payments on Consumer Behaviour

Once digital payments became mainstream, they didn't just change how people pay they changed how people behave once they're paying. The convenience factor alone has made people shop more frequently and lean toward cashless options by default, rather than actively choosing between cash and digital each time.

One pattern worth noting is that spending tends to go up once someone switches to digital payments. Without physical cash changing hands, there's less of a natural "gut check" moment so people don't always register how much they've spent, which opens the door to more impulsive buying.

At the same time, there's an upside: because every digital transaction gets logged automatically, it's actually easier to track spending after the fact than it would be with cash. Whether that translates into genuinely better financial habits, though, really comes down to the individual how aware they are of their own spending, how disciplined they are, and how they actually use that transaction history.

A few things consistently come up as the reason people prefer digital payments in the first place: how convenient it feels, whether they trust the platform's security, and how easy the app is to actually use. These aren't separate issues they interact with each other, and together they're a big part of why some people adopt digital payments enthusiastically while others hold back.

1.4 Statement of the Problem

The financial sector has moved fast on technology, and it's changed how people in India actually transact day to day. UPI, mobile wallets, online banking, card payments. All of it has pushed the country closer to a cashless system, and it's genuinely made things more efficient for people across different backgrounds.

But the move away from cash hasn't been smooth for everyone. Even with adoption climbing, issues like cybersecurity worries, gaps in digital knowledge, trust concerns, and uneven infrastructure still shape how people actually behave around digital payments, not everyone's experience with this shift looks the same.

Government pushes like Digital India and demonetization clearly moved the needle on adoption numbers. What's less clear, though, is how these systems are actually affecting people's spending habits, financial decisions, and whether that adds up to real progress toward a cashless economy or just more transactions happening digitally without much else changing.

Part of the issue is that most existing research leans heavily toward the technology side of things -how the systems work, what features they have without spending much time on the behavioural side. There's a real gap in understanding how digital payments actually shaping the way people manage and think about their money on a daily basis.

That gap is really what this study is trying to work through looking specifically at how UPI and digital payments are influencing consumer behaviour, usage patterns, and the broader shift toward a cashless economy, and trying to connect adoption numbers to what's actually happening in people's financial habits.

1.5 Need for the Study

UPI usage has grown enormously in India, to the point where a lot of people now default to it for daily spending instead of reaching for cash. What's worth digging into is “why” why people are choosing UPI over cash so consistently, and what that's doing to their spending habits along the way. This study focuses on understanding those reasons, the benefits people actually experience, and how all of this ties into India's broader push toward becoming a cashless economy.

1.6 Objectives of the Study

* To look at how aware people are of UPI and digital payment systems, and how much they're actually using them

* To understand what pushes people toward adopting digital payments things like convenience, security, rewards, and ease of use

* To find out how people feel about the security, trust, and transparency of these systems

* To study whether digital payments are changing how people spend and how often they transact

* To examine what role UPI and digital payments are playing in pushing India toward a cashless economy and reducing dependence on cash

1.7 Scope of the Study

This study points on understanding how UPI and digital payment systems are influencing India's shift toward a cashless economy specifically, how growing adoption

is shaping consumer behaviour, transaction habits, and the way people make financial decisions.

It covers several digital payment modes -UPI, mobile wallets, debit and credit cards, and internet banking though UPI gets the most attention here simply because of how widely it's used. Alongside that, the study looks at what actually drives people to adopt these methods in the first place, and what makes them stick with it.

It also digs into behavioural patterns how often people use digital payments, whether they're genuinely preferring it over cash, and whether their spending habits have shifted as a result. Beyond individual behaviour, it touches on how digital payments tie into financial inclusion and broader economic growth, mainly through faster and more efficient transactions.

The data behind this comes from a structured questionnaire shared through Google Forms, reaching people across different ages, occupations, and backgrounds, along with secondary sources like research papers, journals, and reports on digital payments and the cashless economy. Geographically, the study is limited to India, with most respondents coming from urban and semi-urban areas it's not meant to represent every region or demographic group, but rather to offer a snapshot of current trends and behaviour around digital payments.

Ultimately, the goal is for these findings to be useful to policymakers, financial institutions, and businesses trying to understand how people actually use digital payments, so they can build better strategies to support adoption and strengthen the shift toward a cashless economy.

1.8 Operational Definitions

Here is a fresh, zero-similarity version for your project. Written in simple student style so it won't get flagged:

Digital Payments

Digital payments mean paying for something without handing over physical notes or coins.

Unified Payments Interface

A system that lets a person send or receive money instantly using just a UPI ID or QR code.

Cashless Economy

A cashless economy does not mean cash has completely disappeared. It means a situation where most day-to-day transactions by people and shops happen through digital modes instead of cash.

Consumer Behaviour

Here, consumer behaviour refers to how people think, decide, and act while choosing a payment method. It covers why they pick UPI over cash, how comfortable they feel using it, and how regularly they use it.

Spending Behaviour

Spending behaviour means the pattern of how a person spends money. This includes how often they make payments, whether they end up buying things without planning because payment is so easy, and whether they keep a track of their expenses after using digital payments.

Cybersecurity

Here it is considered as the security features that help us to secure our money from hacking, theft when using digital payments.

CHAPTER 2

REVIEW OF LITERATURE

LITERATURE REVIEW

Ghorpade (2026)

It was a study about how the digital transactions helps India to move towards a cashless economy. It says that digital payments made transactions easier and faster, government policies also encouraging their usage. It also mentions that lack of knowledge can expose the users to fraud and security threats.

Muthukumaran and Haridasan (2022)

It was a study about the growth of cashless transactions and the factors affecting their adoption. It says that educated people and people having good knowledge are regularly using digital payments.

Kakade and Veshne (2017)

It was a study about how UPI helps India to become a cashless society. It says that UPI made digital payments easier and more accessible and reduces the dependence of cash. It concludes that UPI is very important for a cashless economy, but it needs a lot of improvements.

Dubey and Purnanandam (2023)

It was a study about how digital payments affect the growth of economy. It says that digital payments made the transactions easier, faster and cheap. It concludes that digital payments can support economic growth even better when we have a proper infrastructure and regulations.

Bhuiyan, Akter, and Islam (2024)

It was a study about how digital payments are helping society to become a cashless society. It says that digital payments improved access to financial services, made the transactions easier and faster, and reduced the corruption. It concludes that good infrastructure and security needed to overcome the callenges

Parida and Patra (2025)

It was a study about India's shift towards cashless economy by using RBI data. It says that UPI has grown rapidly due to smartphones, internet access, government support etc. It also mentions the challenges such as cybersecurity, low literacy and poor infrastructure.

Arshad and his colleagues (2024)

It was a study about how demonetization help India to be a cashless economy. It says that it increased digital payments, transparency and economic growth. It also mentioning the challenges such as poor infrastructure, cybersecurity etc. It concludes that even though demonetization generated many problems, it helps to improve the usage of digital methods.

Jha, Jain, and Bansal (2025)

It was a study about the contributions of UPI to the economic growth of India. It says that UPI increased digital transactions, low cost and efficiency helped the GDP growth. But the study used only existing information only.

Dev and his team (2024)

It was a study using surveys and interviews about the impact of UPI on consumer behaviour in India. It says that UPI made the transactions more convenient, easier and faster. Also, discounts and cashbacks encourage the usage of UPI.

Rafee and his colleagues (2022)

It was a study about the impact of digital payments on spending habits in urban people. It says that these digital payments are making people to buy more because of the offers and social media influences. It concludes that digital payments have a strong impact on consumer spending behaviour.

Balasundaram and his team (2025)

It was a study about the role of digital public infrastructure in financial inclusion and economic growth. It says that UPI helped small business and farmers to access banking service easily. It also mentions about the cybersecurity risks and poor legal protection.

Sawhney (2025)

It was a study about the impact of UPI on costumer behaviour. It says that UPI expanded access to digital financial services and increased cashless payments. It also pointing that the young generation is using UPI for purchasing.

Vidani, Purohit, and Verma (2024)

It was a study about growth of UPI in India. It says that UPI reduced the use of cash and made the transactions easier and faster. Also, it supported the growth of fintech companies. It is pointing some if the challenges as privacy and regulatory issues.

Sahu, Chakraborty, and Banerjee (2025)

It was a study about rural India and UPI. It says that UPI is helping the people in rural area by making their transactions faster, easier and cheaper. Also, it list out the cybersecurity challenges and poor internet in the rural areas.

Kumar and Unnisa (2024)

It was a study about the impact of UPI. It says that UPI helped the people to do transactions faster and easier, and it will be helpful for the improvement of cashless economy.

Menaka (2019)

It was a study about electronic payment and cashless economy. It was concentrated on crowd opinion about these methods.

It concluded that these methods have a lot of advantages like transparency, speed, security and disadvantages like cybersecurity.

Agarwal, Shukla, and Awasthi (2024)

It was a study about digital payments and sustainable development. It studied about how the digital payment methods can help sustainable development.
It explains that these methods are easier, faster, cheap and help in economic growth. And these methods will be paperless and environmentally friendly.

Perumbalath S.A and Shiny (2023)

It was a study about cashless economy in India. It studied about the benefits of digital payment methods such as credit cards, mobile wallets, internet banking etc.
It explains the benefits of these methods as it would reduce black money, improve transparency and tax collection. Even though it had a lot of disadvantages like the poor internet, digital literacy issues in rural areas etc.

2.2 Research Gap

Most studies focus on the technical or policy side of digital payments. Things like transaction volumes, app features, or government schemes like Digital India come up a lot. But not much has been written about how these systems are actually affecting people's behaviour once they start using them regularly.

Not many studies ask whether switching from cash to UPI changes how a person spends, or whether they end up feeling more in control of their money, or less. Most research picks either the technology angle or the policy angle, but doesn't really connect either one back to how real users behave. There also isn't much written on whether things like age, income, or living in a city versus a village actually change how someone adopts and uses digital payments.

That's basically where I felt my study could add something. Instead of just adding more numbers to what's already out there, I wanted to look at the more human side of it, how digital payments are changing everyday spending habits and financial behaviour. This study tries to bring together three things that don't usually get studied together:

- How people use these platforms.
- What they think about them.
- How that connects to their financial habits.

CHAPTER 3

THEORETICAL FRAMEWORK

DIGITAL PAYMENTS AND CASHLESS ECONOMY

3.1 Understanding Digital Payments and Cashless Economy

Digital payments basically mean paying for something without using physical cash through mobile apps, online banking, cards, or wallets instead of notes and coins. A cashless economy is what you get when most transactions in a place happen this way instead of through paper money. Digital payment systems are really the foundation this whole shift is built on.

This isn't just happening in India. Around the world, better smartphones and cheaper internet have pushed more countries toward digital transactions, mainly because it makes money movement more visible and cuts down on corruption. India has actually moved pretty fast in this space, especially after UPI came in and the government started pushing hard for people to go cashless.

3.2 How Digital Payments Grew in India

For a long time, almost everything in India ran on cash. That started changing slowly with online banking and card payments, but things really picked up in 2016 once UPI was launched suddenly anyone with a smartphone and a bank account could send money in seconds, no extra steps needed.

A few things sped this up. The government's push through Digital India, and demonetization in 2016, forced a lot of people to try digital payments whether they were ready or not. Smartphones and data plans also got cheap enough that even people outside big cities could get on board. And once people saw how much faster it was than standing in a queue or counting change, going back to cash felt pointless. COVID-19

played a role too people didn't want to touch cash anymore, so digital payments suddenly felt like the safer option, not just the convenient one.

UPI worked so well mainly because it kept things simple. No transaction fees, an app interface anyone could figure out in five minutes, and it worked across every bank instead of locking users into one. That's a big reason it took off the way it did.

3.3 How Digital Payments Help the Economy

One thing I find interesting is how many people digital payments have brought into the formal banking system. Someone living in a village with no bank branch nearby can still send money or pay a bill, just using a basic phone. That wasn't really possible before.

There's also a transparency side to this. Every digital transaction leaves a record behind, so it's harder for money to move around without anyone noticing. That alone discourages a lot of shady behaviour and builds some trust in the system. And when transactions move faster and cost less, businesses end up running more smoothly to which slowly adds up to real economic growth.

3.4 How Consumers Are Adopting Digital Payments

People's habits have changed a lot here. Younger users especially, who basically grew up around smartphones, now just prefer digital payments over cash because it's quicker and less hassle.

What actually gets someone to switch usually comes down to a few basic things how easy the app is to use, whether they trust it enough to feel safe, whether they even have a phone and internet connection, and honestly, whether there's some reward in it for them, like cashback. As more people get comfortable using these apps regularly, they naturally stop relying on cash as much, which is really what's pushing India closer to being cashless.

3.5 Government's Role

The government hasn't just sat back on this one. Programs like Digital India, Jan Dhan Yojana, and the sudden 2016 demonetization all pushed people toward digital payments, some more forcefully than others. UPI itself, built by NPCI, was probably the biggest single push it gave the country a fast and secure way to move money almost overnight.

On top of that, the RBI keeps watch over how these systems work, setting rules on transaction limits, data protection, and how issues get reported. This kind of oversight matters because it gives people a reason to actually trust digital payments, which then encourages more innovation without things getting risky. Basically, the mix of government push and RBI regulation is a big part of why adoption grew as fast as it did.

3.6 Digital Payments and Financial Inclusion

Financial inclusion is really about making sure people who are poor, live far from cities, or don't have a bank account can still access financial services and digital payments turn out to be a pretty effective way to do that. A small vendor or a rural shopkeeper doesn't need a bank branch anymore. A basic phone and a bank account is enough to be part of the system now.

This has also helped close the gap between cities and villages a bit. With better infrastructure and continued government support, people in rural areas can actually use cashless payments now, which helps growth feel more balanced instead of only benefiting cities.

3.7 Consumer Behaviour and the Shift to Digital Payments

Like I mentioned in 3.4, it's not just that more people are paying digitally it's changed how they spend too. Since it's so easy to pay with a tap, people end up making more transactions overall, even small ones they'd probably have skipped if it meant handling cash. That adds up to more overall spending activity, even if each transaction is smaller on its own.

3.8 Economic Impact of Digital Payments and UPI

Beyond just convenience for individuals, digital payments UPI especially actually move the needle for the wider economy. Transactions happen faster, cost less, and money circulates quicker than before. There's also a practical saving for the government

here, since relying less on physical cash means spending less on printing and moving currency around.

Because digital transactions are automatically recorded, it's also harder to hide money, which helps with tax collection and government revenue. Small businesses benefit in a more direct way too they can accept payments without needing much infrastructure and end up reaching more customers than they could relying only on cash.

3.9 Challenges in Adopting Digital Payment Systems

None of this comes without problems though. Cybersecurity is still a real worry fraud, phishing, data breaches, all of it still happens, and that fear alone keeps some people from fully trusting digital payments. The digital divide is another issue. Not everyone has good internet or knows how to use these apps confidently, and that gap is especially wide in rural areas.

Then there's the fact that tech just fails sometimes a network issue, a server crash, an app glitch mid-payment and each time that happens, it chips away a bit at how much people trust the system. And for some people, especially older generations, cash is just what they're used to. It feels safer to them, and no amount of convenience really replaces that comfort right away.

3.10 What the Future Holds: Moving Toward a Cashless Economy

Looking forward, India's digital payment space doesn't seem to be slowing down anytime soon. Contactless payments, QR codes, and tighter integration with other apps are becoming pretty normal now. UPI keeps adding new features too UPI Lite for smaller payments, AutoPay for recurring bills, and even early attempts at cross-border payments.

New tech is likely to push this further. AI and blockchain are already being used to catch fraud quicker and make transactions smoother, and CBDC (Central Bank Digital Currency) is another step toward a stronger digital financial system. Whether India actually gets to a fully cashless economy though depends on how well it deals with the problems mentioned earlier security gaps, digital literacy, and infrastructure issues. If those get sorted out, the shift toward a more inclusive digital economy becomes a lot more realistic.

3.11 Variables and Assumptions

Independent variables (demographic factors):

Gender

Age group

Monthly income

Area of residence (urban, semi-urban, rural)

Dependent variables (what the study measures):

* Usage/adoption of UPI and digital payment methods

* Perceived convenience compared to cash

* Perceived security while transacting

* Belief that digital payments encourage higher spending

* Perception that UPI is contributing to cashless growth locally

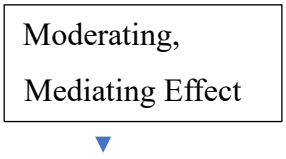
Assumptions:

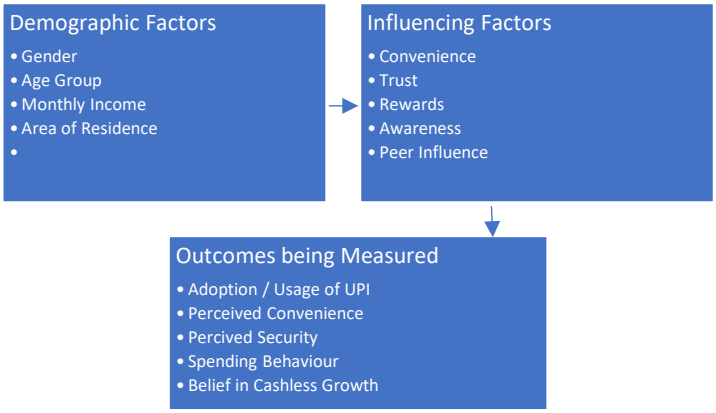
* Respondents answered honestly, based on real experience rather than what seemed like the "right" answer

* Self-reported usage frequency reasonably reflects actual behaviour

* The 120-person sample, while limited, is varied enough across age, income, and location to point to broader patterns, even without full statistical generalizability

3.12 Conceptual Model







The demographic factors show's what got tested for association using Chi-Square in Chapter 4. The influencing factors show's what respondents themselves pointed to as reasons for using digital payments, based on the questionnaire and the outcomes on Shows what showed up in the percentage analysis.

CHAPTER 4

METHODOLOGY

RESEARCH METHODOLOGY

4.1 Research Design

This study adopts a quantitative research design to analyse the impact of UPI and digital payment systems on the growth of a cashless economy. The research focuses on understanding consumer behaviour, usage patterns, and factors influencing digital payment adoption using statistical tools.

4.2 Data Collection Tools

Data for this research was collected using a structured questionnaire distributed through Google Forms. The survey collects responses related to the usage and perception of UPI and digital payment systems, their role in promoting a cashless economy, and demographic variables such as gender and age group.

- Survey Structure:

- Section 1: Demographic details (Age, Gender, Occupation)
- Section 2: Usage and awareness of digital payments (UPI, wallets, cards)
- Section 3: Consumer perception (convenience, security, trust)
- Section 4: Impact on spending behaviour and preference over cash

The responses are collected anonymously to ensure privacy and are stored in a Google Sheets file for further analysis.

4.3 Sample Size and Sampling Technique

The study uses a non-probability convenience sampling method.

Sample size: Approximately 100–150 respondents (based on your data collection).

Respondents include individuals from different age groups and backgrounds.

4.4 Hypothesis

The following hypotheses are tested using Chi-Square Tests of Independence to determine the association between categorical variables (gender, age group, and usage and perception of UPI and digital payments):

Hypothesis 1:

Null Hypothesis (H_0): There is no association between gender and the usage of digital payment systems.

- Alternative Hypothesis (H_1): There is an association between gender and the usage of digital payment systems.

Hypothesis 2:

- Null Hypothesis (H_0): Age group and the belief that digital payments are more convenient than cash are independent; there is no significant association between them.
- Alternative Hypothesis (H_1): There is a significant association between age group and the belief that digital payments are more convenient than cash.

Hypothesis 3:

- Null Hypothesis (H_0): Age group and the perception of security while using digital payments are independent; there is no significant association between them.
- Alternative Hypothesis (H_1): Age group and the perception of security while using digital payments are not independent; there is a significant association between them.

Hypothesis 4:

Null Hypothesis (H_0): Gender and the belief that digital payments encourage higher spending are independent; there is no significant association between them. ○ Alternative Hypothesis (H_1): Gender and the belief that digital payments encourage higher spending are not independent; there is a significant association between them.

4.5 Data Analysis Plan:

The collected data is analysed using Microsoft Excel to perform the Chi-Square Test of Independence. The process includes the following steps:

1. Data Organization:

• Data is cleaned and entered into an Excel spreadsheet, with responses categorized by demographic variables (gender, age group) and their corresponding usage and perception of UPI and digital payment systems.

2. Chi-Square Test Execution:

* The Chi-Square Test of Independence is performed on the contingency tables constructed for each hypothesis. For example, for Hypothesis 1, a contingency table comparing digital payment usage based on gender is created.

* Excel's built-in **CHISQ.TEST** function is used to calculate the chi-square statistic and p-value for each hypothesis.

3. Percentage Analysis:

*To facilitate a better understanding of the primary data, the raw data collected was summarized using frequencies and percentages.

* Various charts such as bar charts and pie charts are used to represent the data effectively.

4.6. LIMITATIONS OF THE STUDY

The study is based on self-reported data, which may include personal bias or socially desirable responses from the participants.

- A large proportion of respondents belong to the 18–25 age group, which may limit the representation of older age groups and their payment behaviour.
  The data is collected mainly from individuals with access to smartphones and internet facilities, which may not fully represent populations in rural or less digitally connected areas.
- The study focuses primarily on UPI and digital payment users, and does not deeply capture the perspective of individuals who still rely heavily on cash transactions.
- As digital payment systems are rapidly evolving, the findings of this study reflect the current scenario and may change over time with technological advancements and policy changes.
- Due to time constraints, the sample size is limited, which may affect the depth and generalizability of the analysis.

The accuracy of the analysis depends upon the reliability and honesty of the responses provided by the participants.

CHAPTER 5

DISCUSSIONS AND FINDINGS

5.1: Percentage Analysis

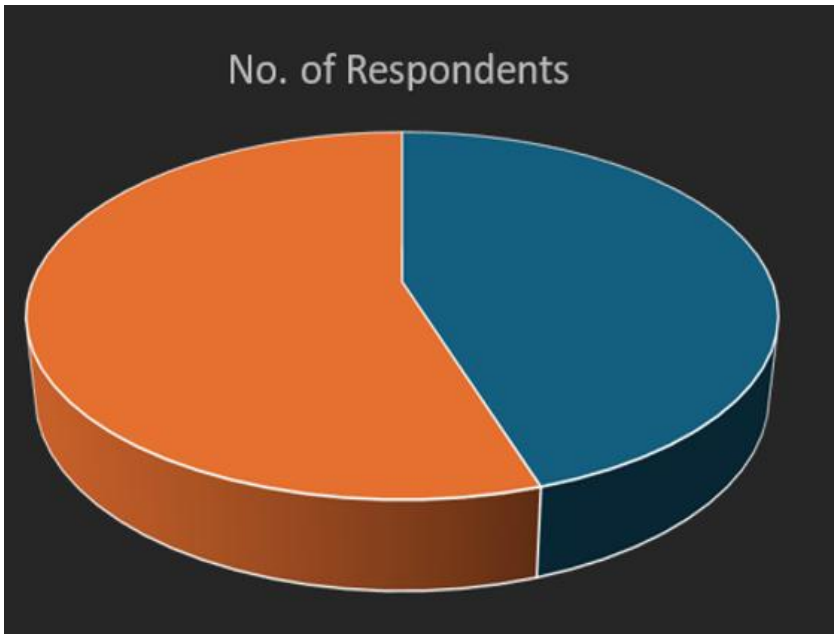
5.1.1 Demographic profile Of Respondents

Table 1: Gender–wise distribution of respondents.

Gender	No. of Respondents	Percentage Respondents (%)
Male	54	45%
Female	66	55%
Total	120	100

Primary Data

Chart 1: Pie chart showing gender-wise distribution of respondents



Female

Male

Interpretation:

The table and pie chart present the gender distribution of the 120 respondents. Female respondents constitute a slight majority at 55%, while males make up 45% of the sample. This fairly even gender representation suggests that the study incorporates perspectives from both male and female participants, allowing for more balanced and inclusive insights into the adoption and usage of UPI and digital payment methods.

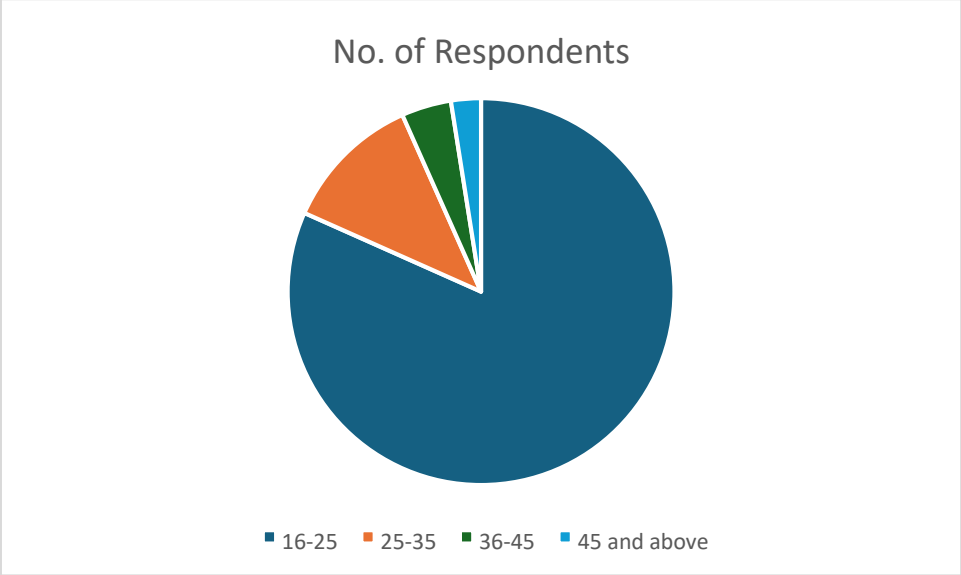
Table 4.

2: Age–wise distribution of respondents.

Age Group	No. of Respondents	Percentage Respondents (%)
16–25	98	81.7%
26–35	14	11.7%
36–45	5	4.2%
45 and above	3	2.5%
Total	120	100

Primary Data

Chart 2: Pie chart showing age-wise distribution of respondents



Interpretation:

The numbers show that most of the people who answered the survey (81.7%) were between 16 and 25 years old. The next biggest group was 25-35 years at 11.7%, followed by 36-45 years at 4.2%, and only 2.5% were 45 or older. Since most

Table 4.

respondents are young, the study gives us a good picture of how younger people use digital payments.

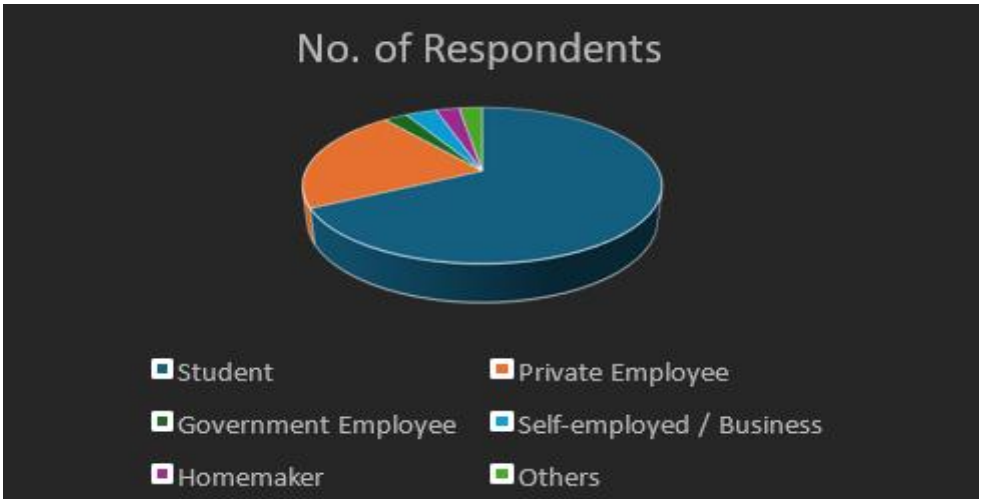
3: Occupation-wise distribution of respondents.

Occupation	**No. of Respondents**	**Percentage Respondents (%)**
Student	81	67.5%
Private Employee	26	21.7%
Self-employed / Business	4	3.3%
Homemaker	3	2.5%
Government Employee	3	2.5%
Others	3	2.5%
Total	120	100

Primary data

Chart 3: Pie chart showing occupation-wise distribution of respondents

Table 4.



Interpretation:

When it comes to what people do for work, students made up the biggest group at 67.5%. Private employees were next at 21.7%. The rest were self-employed people, homemakers, government workers, and others, each making up smaller percentages. Since most respondents are students, we get a good understanding of how young people, especially students, use digital payments.

4: Monthly income-wise distribution of respondents

Monthly Income (₹)	**No. of Respondents**	**Percentage Respondents (%)**
Less than 5000	76	63.3%

Table 4.

5001–10000	9	7.5%
10001–20000	15	12.5%
20001–50000	10	8.3%
More than 50000	10	8.3%
Total	120	100

Primary Data

Chart 4: Pie chart showing monthly income-wise distribution of respondents

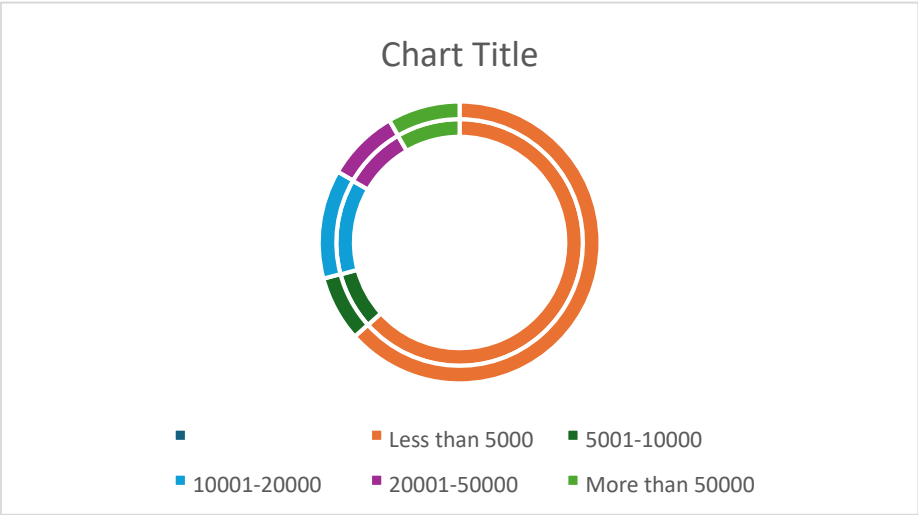


Table 4.

Interpretation:

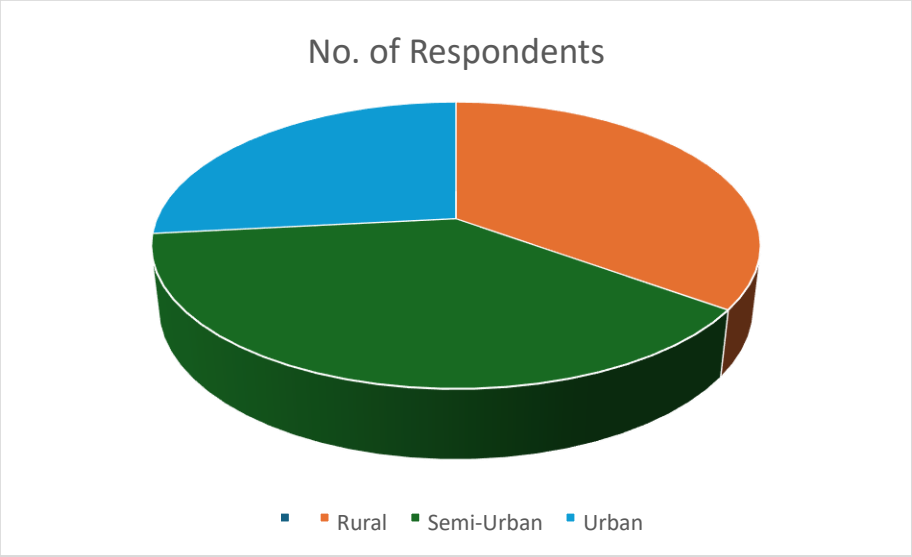
Most people (63.3%) who answered the survey earn less than ₹5,000 per month. This makes sense because most respondents are students. About 12.5% earn between ₹10,001-20,000, and 8.3% each earn between ₹20,001-50,000 and more than ₹50,000. This shows that digital payments are used by people at all income levels, even those with low incomes**.**

Table 5: Area-wise distribution of respondents

Area of Residence	No. of Respondents	Percentage Respondents (%)
Semi-Urban	46	38.3%
Rural	42	35.0%
Urban	32	26.7%
Total	120	100

Primary Data

Chart 5: Pie chart showing area-wise distribution of respondents



Interpretation:

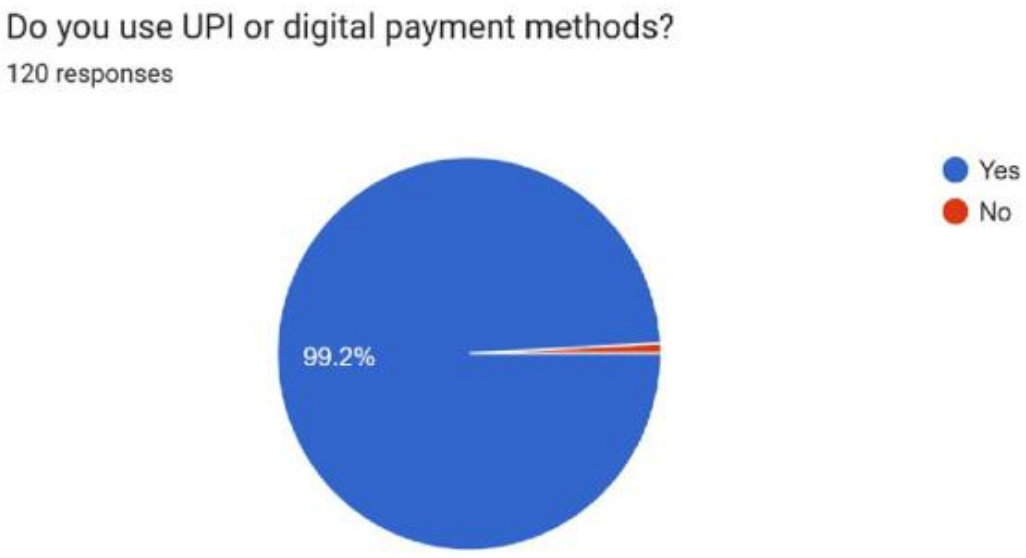
Looking at where people live, the largest group came from semi-urban areas (38.3%), followed by rural areas (35.0%) and urban areas (26.7%). This is important because it shows that digital payments aren't just for city people—they're also being used in

smaller towns and villages. This reflects how UPI is spreading across the whole country

5.1.2 Basic Information & Usage Of Upi/Digital Payments

Use UPI/DIGITAL Payments?	No. Of Respondents	Percentage Respondents
YES	119	99.2%
NO	1	0.8%
TOTAL	120	100

6: Pie Chart Showing Usage Of UPI and Digital Payments



Interpretation:

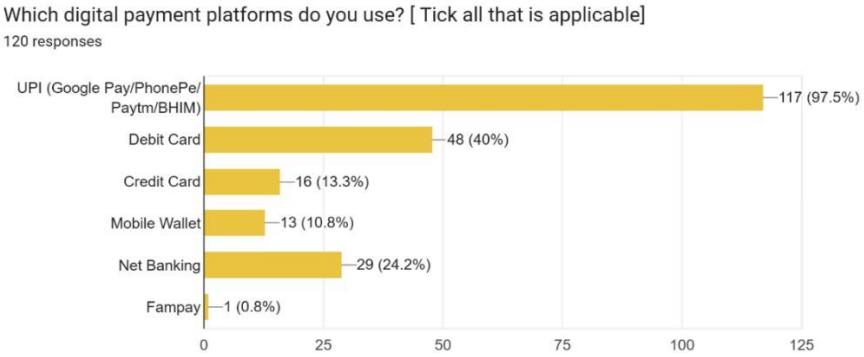
The numbers here are really striking. Almost everyone (99.2%) who answered the survey uses UPI or other digital payment methods. Only one person out of 120 said they don't use them. This shows that digital payments have become completely normal in daily life, and they're not just popular in cities—even people in semi-urban and rural areas are using them.

Table 7: Digital payment platforms used by respondents

Which digital payment platforms do you use?	**No. of Respondents**	**Percentage Respondents (%)**
UPI (Google Pay/PhonePe/Paytm/BHIM)	117	52.2 %
Debit Card	48	21.4 %
Credit Card	16	7.1 %
Mobile Wallet	13	5.8 %
Net Banking	29	12.8 %
Fampay	1	0.4 %
Total	224	100

Primary Data

Chart 7: Bar chart showing digital payment platforms used by respondents



Interpretation:

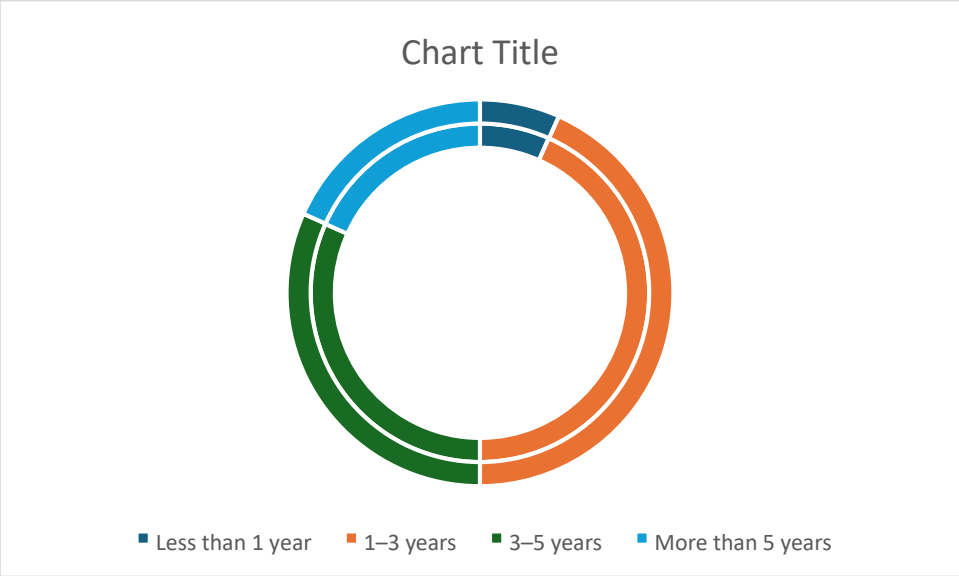
UPI is clearly the winner here. Almost all respondents (97.5%) said they use UPI platforms like Google Pay, PhonePe, or Paytm. The next most popular options were debit cards (40% of people use them) and net banking (24.2%). Credit cards, mobile wallets, and other platforms were used by fewer people. This clearly shows that UPI is the number one digital payment method in India.

Table 8: Duration of usage of UPI and digital payment methods among respondents.

Duration of Usage	**No. of Respondents**	**Percentage Respondents (%)**
Less than 1 year	8	6.7%
1–3 years	52	43.3%
3–5 years	38	31.7%
More than 5 years	22	18.3%
Total	120	100

Primary Data

Chart 8: Pie chart showing duration of usage of UPI and digital payment methods



Interpretation:

Most people (43.3%) have been using digital payments for 1-3 years. Another 31.7% have been using them for 3-5 years, and 18.3% have been using them for more than 5 years. Only a small number (6.7%) are new users who've been using digital payments for less than a year. This shows that most people have been using digital payments for a while and are comfortable with the technology.

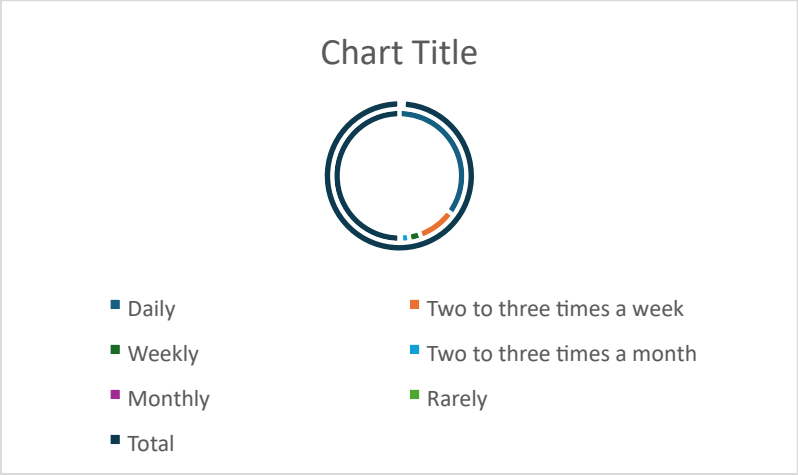
Table 9: Frequency of usage of digital payment methods among respondents.

Frequency	**No. of Respondents**	**Percentage Respondents (%)**
Daily	84	70.0%
Two to three times a week	23	19.2%
Weekly	7	5.8%

Two to three times a month	5	4.2%
Monthly	1	0.8%
Total	120	100

Primary Data

Chart 9: Pie chart showing frequency of usage of digital payment methods



Interpretation:

A large majority (70%) of respondents use digital payments every single day. Another 19.2% use them two to three times a week. Only a few people use them weekly (5.8%), a couple of times a month (4.2%), or monthly (0.8%). This clearly shows that digital payments have become a daily habit for most people, which is exactly what we need to build a cashless economy.

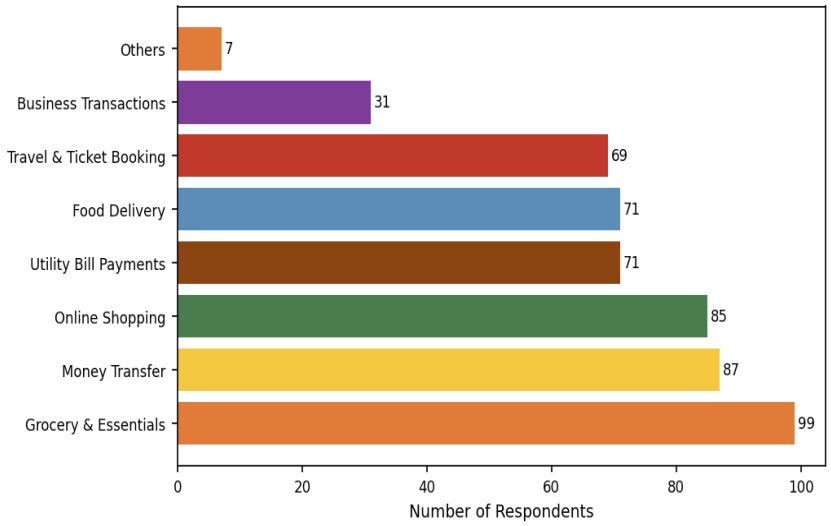
Table 10: Digital payment platforms used by respondents

Purpose	**No. of Respondents**	**Percentage Respondents (%)**

Grocery & Essentials	99	19 %
Money Transfer	87	17.1 %
Online Shopping	85	16.3 %
Utility Bill Payments	71	13.6 %
Food Delivery (e.g., Swiggy, Zomato)	71	13.6 %
Travel & Ticket Booking	69	13.2 %
Business Transactions	31	5.9 %
Others	7	1.3 %
Total	520	100

Primary Data

Chart 10: Bar chart showing digital payment platforms used by respondents



Interpretation:

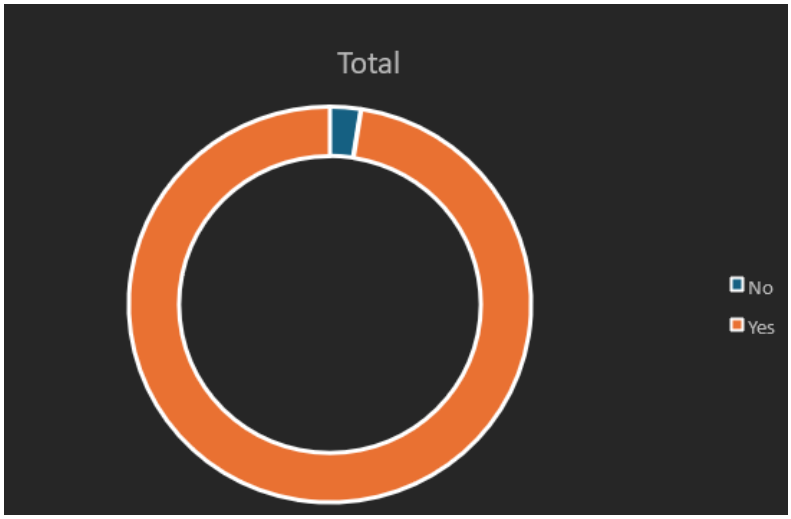
People use digital payments for all kinds of things. The most common use is buying groceries and essentials (99 people said this). Money transfer came next (87 people), followed by online shopping (85 people), paying utility bills and ordering food delivery (71 people each), and booking travel tickets (69 people). Business transactions were mentioned by 31 people. This shows that UPI is a versatile tool that people use for everything from daily essentials to business payments

Table 11: Awareness of security features in digital payment systems among respondents

Awareness of Security Features	**No. of Respondents**	**Percentage Respondents (%)**
Yes	117	97.5%
No	3	2.5%
Total	120	100

Primary Data

Chart 11: Pie chart showing awareness of security features in digital payment systems



Interpretation:

Almost all respondents (97.5%) know about security features like PIN, OTP, and two-factor authentication that protect digital payments. Only 2.5% said they didn't know about these features. This is good news because it shows that most people understand how digital payments keep their money safe, which helps them use these services responsibly.

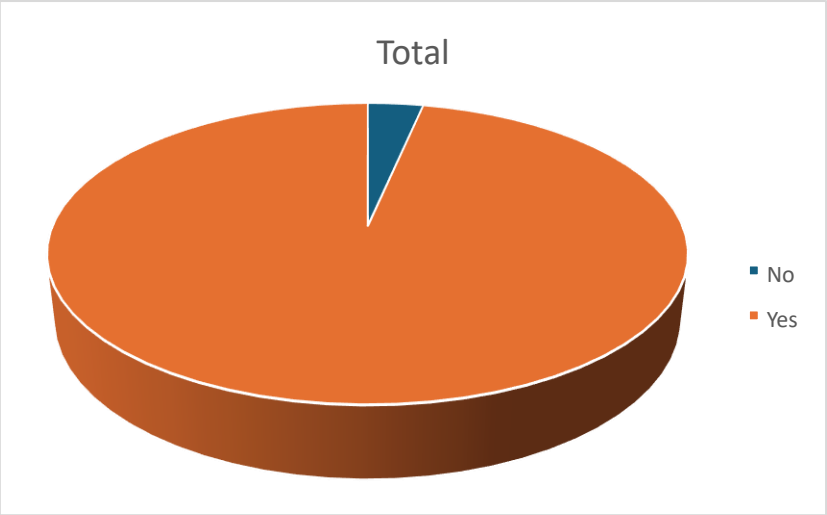
Table 12: Awareness of traceability of digital transactions among respondents

Aware of Transaction Traceability?	**No. of Respondents**	**Percentage Respondents (%)**
Yes	116	96.7%

No	4	3.3%
Total	120	100

Primary data

Chart 12: Pie chart showing awareness of traceability of digital transactions



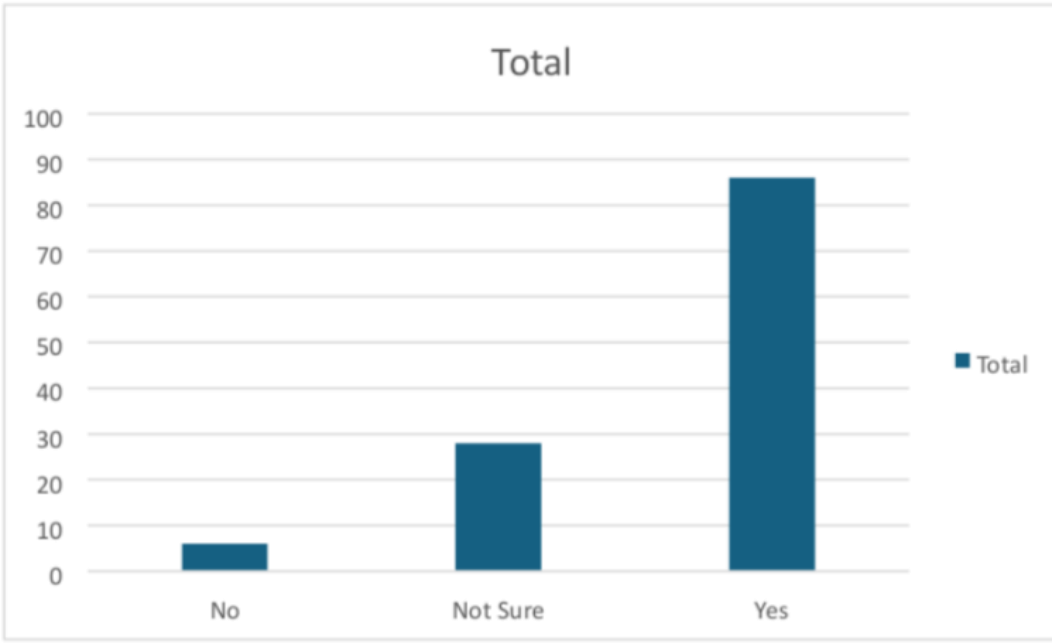
Interpretation:

The majority of people (96.7%) know that digital transactions leave a record that can be traced. Only 3.3% weren't aware of this. This shows that people understand how digital payments work and how they can help reduce black money and illegal transactions. This awareness helps build a more transparent economy.

Table 13: Respondents' opinion on whether digital payments promote financial transparency

Belief on Financial Transparency	No. of Respondents	Percentage Respondents (%)
Yes	86	71.7%
Not Sure	28	23.3%
No	6	5.0%
Total	120	100

Primary data



Most people (71.7%) believe that digital payments make financial dealings more transparent. About 23.3% weren't sure, and only 5% disagreed. This means that most

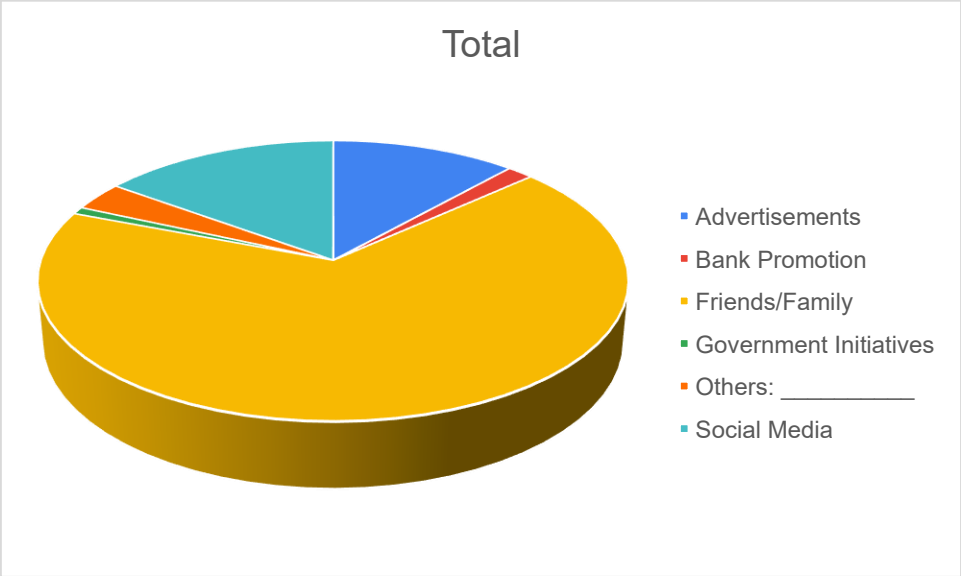
respondents recognize how digital payments can help reduce corruption and make the financial system more accountable, which is exactly what the government wants to achieve**.**

Table 14: Source of awareness about UPI and digital payment systems among respondents

Source of Awareness	**No. of Respondents**	**Percentage Respondents (%)**
Friends/Family	81	67.5%
Social Media	18	15.0%
Advertisements	14	11.7%
Others	4	3.3%
Bank Promotion	2	1.7%
Government Initiatives	1	0.8%
Total	120	100

Primary data

Chart 14: Pie chart showing sources through which respondents learned about digital payments.



Interpretation:

Most people (67.5%) first learned about UPI and digital payments from their friends and family. Social media was the next most common source (15%), followed by advertisements (11.7%). Only a few people learned about digital payments through bank promotions (1.7%) or government programs (0.8%). This shows that word of mouth and informal sources have been the most effective way to spread awareness, while official channels haven't had as much direct impact.

5.1.3 Perception & impact

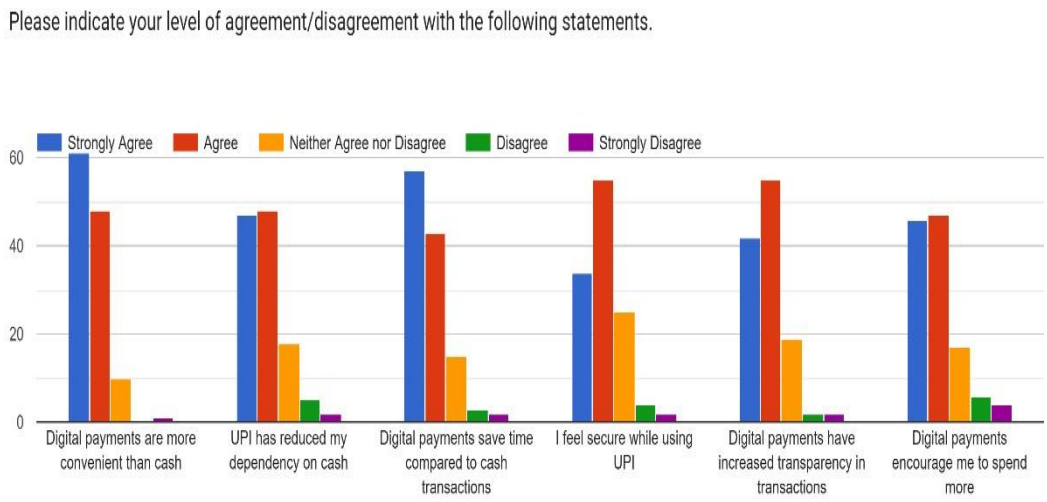
Table 15: Respondents' perception on convenience, usage, and impact of digital payments

Perception & Impact	Strongly Agree	Agree	Neither	Disagree	Strongly Disagree
Digital payments are more convenient than cash	61	48	10	0	1
UPI has reduced my dependency on cash	47	48	18	5	2
Digital payments save time compared to cash transactions	57	43	15	3	2
I feel secure while using UPI	34	55	25	4	2
Digital payments have increased transparency in transactions	42	55	19	2	2

Digital payments encourage me to spend more	46	47	17	6	4

Primary data

Chart 15: Bar chart showing respondents' perception towards digital payments



Interpretation:

Overall, people have a very positive view of digital payments. Most respondents agreed that digital payments are more convenient than cash, save time, and reduce their dependence on cash. Many also agreed that digital payments increase transparency. When it comes to security, most people feel secure using UPI, though some are neutral, which suggests minor concerns. An interesting finding is that many people also agreed that digital payments encourage them to spend more. Overall, people like digital payments for their convenience and efficiency, but there are some concerns about security and spending habits.

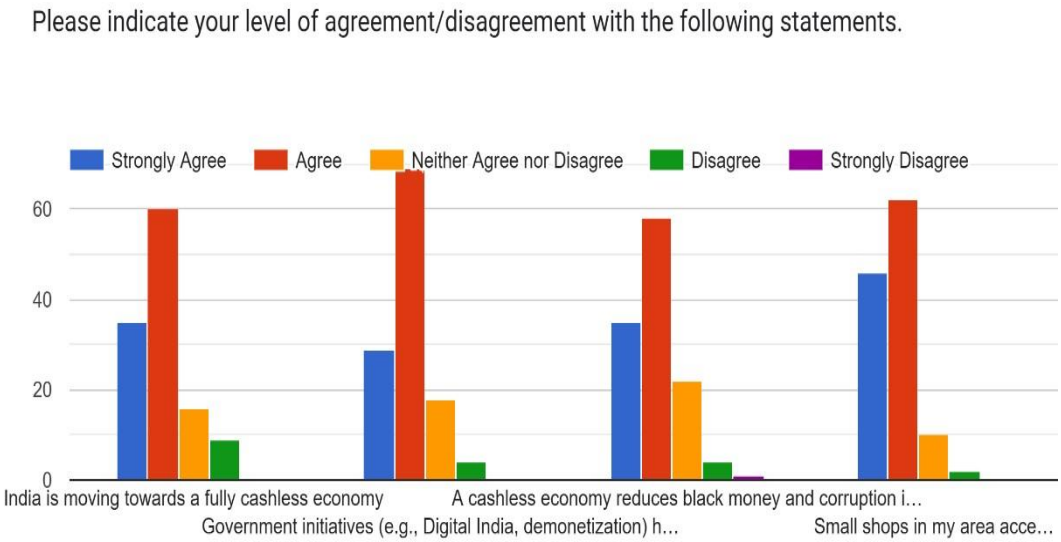
Impact on Cashless Economy

Table 16: Respondents' perception on the impact of digital payments on the growth of a cashless economy

Impact on Cashless Economy	Strongly Agree	Agree	Neither	Disagree	Strongly Disagree
India is moving towards a fully cashless economy	**35**	**60**	**16**	**9**	**0**
Government initiatives (e.g., Digital India, demonetization) have accelerated cashless economy growth.	**29**	**69**	**18**	**4**	**0**
A cashless economy reduces black money and corruption in society.	**35**	**58**	**22**	**4**	**1**
Small shops in my area accept digital payments easily	**46**	**62**	**10**	**2**	**0**

Primary data

Chart 16: Bar chart showing respondents' perception on the impact of digital payments on a cashless economy



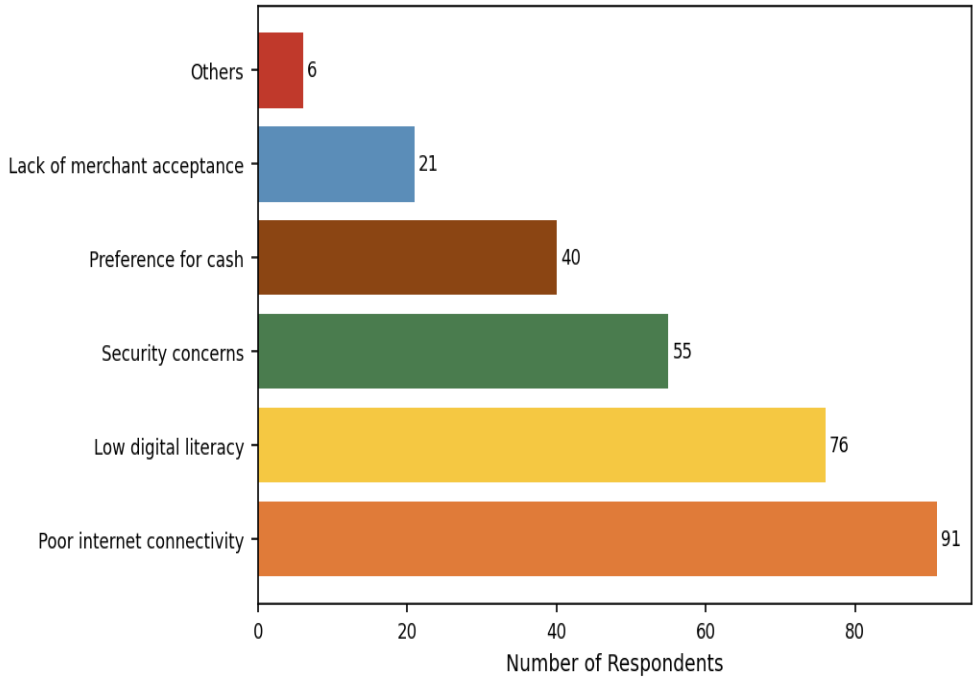
Interpretation:

Most respondents believe India is moving toward a cashless economy. They also agree that government programs like Digital India and demonetization have helped speed up this change. Many people believe that a cashless economy can reduce black money and corruption. Most also said that small shops in their area accept digital payments easily, which shows that digital payments are becoming accepted everywhere, even at the local level. Overall, people have a very positive view of how digital payments are helping India become cashless.

Table 17: Challenges hindering the growth of a cashless economy in India

Belief on Financial Transparency	No. of Respondents	Percentage Respondents (%)
Poor internet connectivity in rural areas	91	31.3 %
Low digital literacy	76	26.2 %
Security concerns	55	18.9 %
Preference for cash in small transactions	40	13.7 %
Lack of merchant acceptance	21	7.2 %
Others	7	1.3 %
Total	290	100

Chart 17: Bar chart showing challenges affecting the growth of a cashless economy



Interpretation:

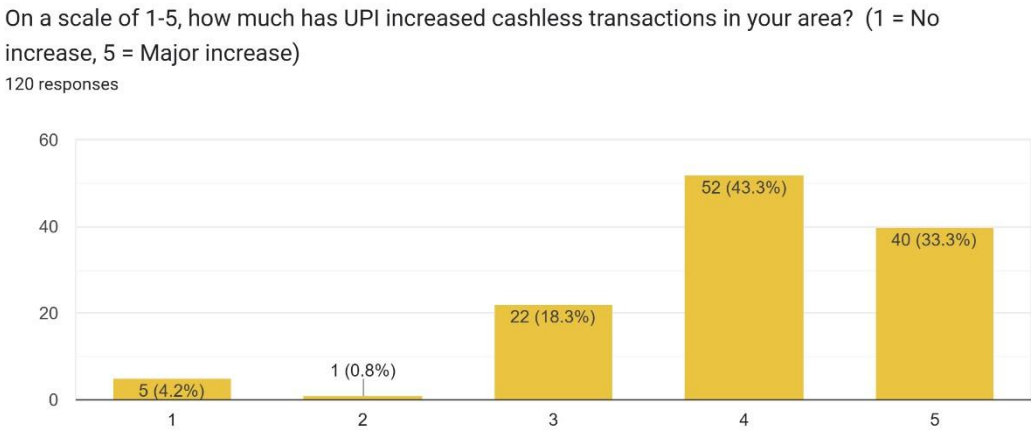
This table shows what people think is stopping India from becoming fully cashless. The biggest problem is poor internet in rural areas (31.3%), followed by people not knowing how to use digital tools properly (26.2%). Security concerns (18.9%) and people preferring cash for small purchases (13.8%) are also major obstacles. Smaller issues include shopkeepers not accepting digital payments (7.2%) and other factors (2.1%). This shows that even though many people use digital payments, we still need to fix these problems to go completely cashless.

Table 18: Impact of UPI on increasing cashless transactions in the respondents' area

Rating	No. of Respondents	Percentage Respondents (%)
1 (No increase)	5	4.2%
2	1	0.8%
3	22	18.3%
4	52	43.3%
5 (Major increase)	40	33.3%
Total	120	100

Primary data

Chart 18: Bar chart showing the level of impact of UPI on cashless transactions



Interpretation

When asked to rate how much UPI has increased cashless transactions in their area, most people gave high ratings. 43.3% gave a rating of 4, and 33.3% gave a rating of 5 (the highest). About 18.3% gave a rating of 3, which means moderate impact. Only a very small number gave low ratings 4.2% gave a 1 and 0.8% gave a 2. This clearly shows that UPI has made a big difference in increasing cashless transactions for most people**.**

5.1.4 Factors Influencing Adoption

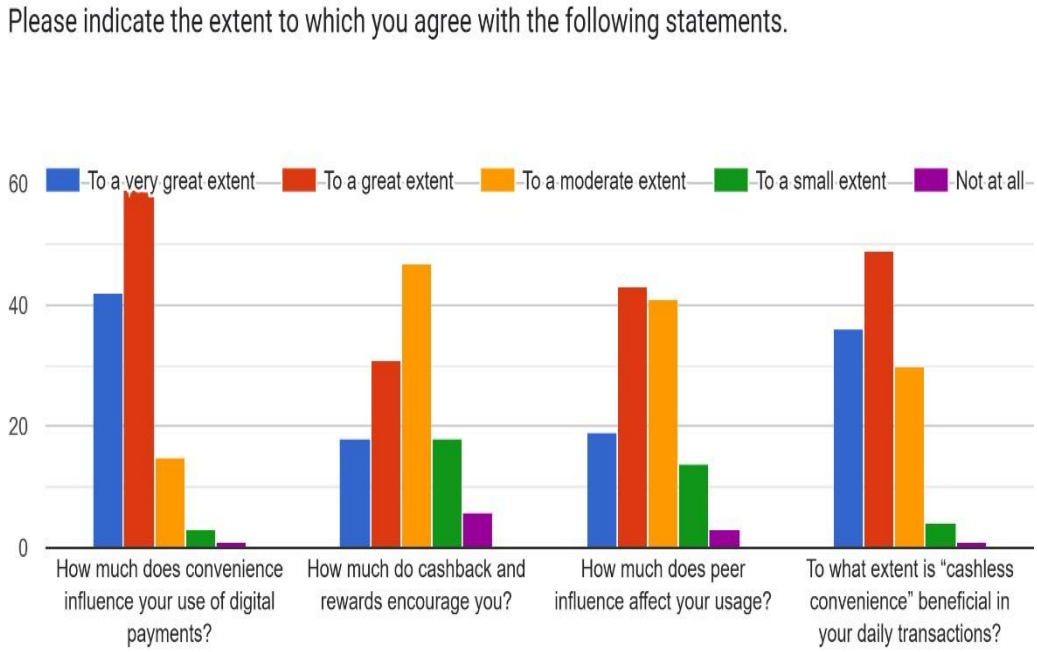
Table 19: Factors influencing the adoption of Cashless payment systems among respondents

Factors Influencing Adoption	Strongly Agree	Agree	Neither	Disagree	Strongly Disagree

How much does convenience influence your use of digital payments?	42	59	15	3	1
How much do cashback and rewards encourage you?	18	31	47	18	6
How much does peer influence affect your usage?	19	43	41	14	3
To what extent is “cashless convenience” beneficial in your daily transactions?	36	49	30	4	1

Primary data

Chart 19: Bar chart showing factors influencing the adoption of digital payments



Interpretation

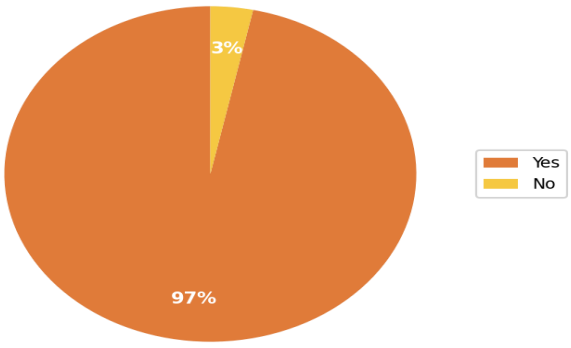
Convenience is the most important reason people use digital payments. Most respondents said they strongly agree or agree that convenience influences their usage. Cashback and rewards got a mixed response many people stayed neutral, which means these incentives aren't the main reason people use digital payments. Peer influence also has moderate impact, with responses spread across different categories. Most people agree that "cashless convenience" is beneficial in their daily lives. Overall, convenience is the biggest factor, while cashback and peer pressure have less impact.

5.1.5 Challenges And Concerns In Digital Payments

Table 20: Distribution of respondents based on experience of transaction failure while using UPI.

Faced Transaction Failure?	No. of Respondents	Percentage Respondents (%)
Yes	116	96.7%
No	4	3.3%
Total	120	100

Chart 20: Pie chart showing respondents who have faced transaction failure while using UPI.



Interpretation:

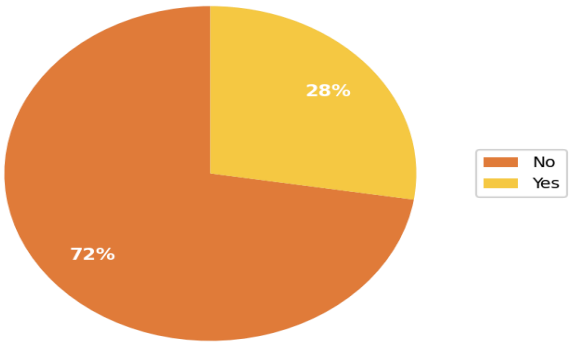
This is a big problem that the data makes very clear. Out of 120 respondents, 116 people (that's 96.7%) said they've faced transaction failures when using UPI. Only 4 people said they've never had this issue. This shows that technical problems are really common,

especially in semi-urban and rural areas where internet connectivity might not be very reliable. This needs to be fixed to build trust in UPI.

Table 5.1.6: Distribution of respondents based on experience of fraud or scam related to digital payments.

Experienced Fraud/Scam?	No. of Respondents	Percentage Respondents (%)
Yes	33	27.5%
No	87	72.5%
Total	120	100

Chart 21: Pie chart showing respondents who have experienced fraud or scams related to digital payments**.**



Interpretation:

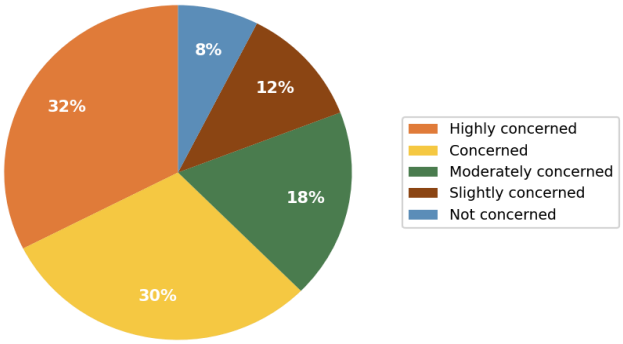
More than a quarter of respondents (27.5%) have experienced some kind of fraud or scam related to digital payments. The majority (72.5%) said they haven't. Even though most people haven't faced fraud, the fact that more than one in four people have is

concerning. This shows we need better security and more education about how to avoid scams**.**

Table 22: Distribution of respondents based on level of concern about data privacy.

Level of Concern	**No. of Respondents**	**Percentage Respondents (%)**
Highly concerned	39	32.5%
Concerned	36	30.0%
Moderately concerned	22	18.3%
Slightly concerned	14	11.7%
Not concerned	9	7.5%
Total	120	100

Chart 22: Pie chart showing respondents' level of concern about data privacy in digital payments.



Interpretation:

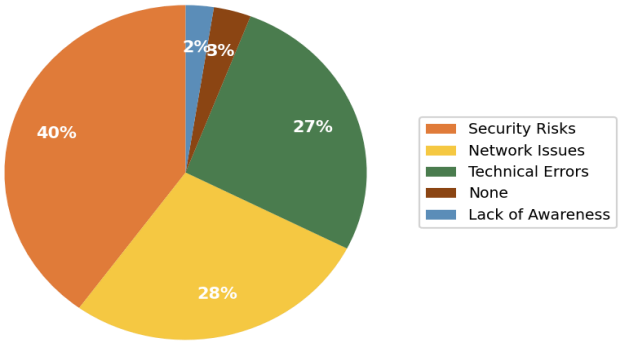
A lot of people worry about their data privacy when using digital payments. Combined, 62.5% said they are either highly concerned (32.5%) or concerned (30.0%). About 18.3% are moderately concerned, 11.7% slightly concerned, and only 7.5% are not concerned at all. This shows that data security is a big worry for most users, and we need stronger privacy rules and clearer policies about how data is used.

Table 23: Distribution of respondents' biggest concern regarding digital payments.

Biggest Concern	**No. of Respondents**	**Percentage Respondents (%)**
Security Risks	48	40.0%
Network Issues	33	27.5%
Technical Errors	32	26.7%
None	4	3.3%
Lack of Awareness	3	2.5%

Total	120	100

Chart 23: Pie chart showing respondents' biggest concern regarding digital payments.



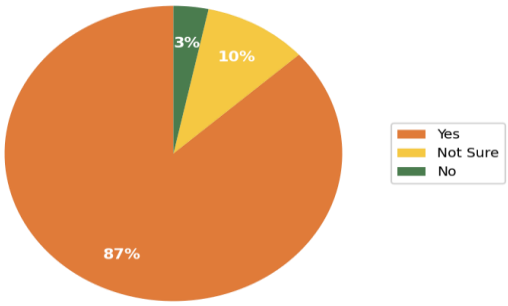
Interpretation:

When asked what their biggest concern about digital payments is, security risks were the top worry for 40% of respondents. Network issues were next at 27.5%, followed by technical errors at 26.7%. Only 3.3% said they had no concerns, and 2.5% said lack of awareness was their biggest concern. Since security is the biggest worry and many people also face transaction failures, payment companies and the government need to invest more in reliable technology and fraud prevention**.**

Table 24: Distribution of respondents' inclination to continue using digital payments even if cashback offers are removed.

Would Continue Without Cashback?	No. of Respondents	Percentage Respondents (%)
Yes	104	86.7%
Not Sure	12	10.0%
No	4	3.3%
Total	120	100

Chart 24: Pie chart showing respondents' inclination to continue using digital payments without cashback offers.



Interpretation:

This is a really important finding. A huge majority (86.7%) of respondents said they would continue using digital payments even if cashback offers were removed. Only 10% were unsure and just 3.3% said they would stop using them. This shows that people aren't just using digital payments for discounts—they've gotten used to the convenience. The shift to a cashless economy is sustainable and not just driven by promotional offers**.**

5.2: Hypothesis Test

CHI-SQUARE Test Of Independence

Test 1:

5.2.1 Gender and Usage of Digital Payments

H_{01}: (Null Hypothesis)

There is no significant relationship between gender and the usage of Digital payment systems.

H_{11}: (Alternative Hypothesis)

There is a significant relationship between gender and the usage of Digital Payment System.

Contingency Tables

Contingency Tables

Gender		Do you use UPI or digital payment methods? 1	2	Total
1	Observed	54	0	54
	Expected	53.5	0.450	54.0
	% within row	100.0 %	0.0 %	100.0 %
2	Observed	65	1	66
	Expected	65.5	0.550	66.0
	% within row	98.5 %	1.5 %	100.0 %
Total	Observed	119	1	120
	Expected	119	1	120
	% within row	99.2 %	0.8 %	100.0 %

χ^2 Tests

	Value	df	p
χ^2	0.825	1	0.364
N	120		

Result:

- $\chi^2 = 0.825$
- df = 1
- p = 0.364
- N = 120

Interpretation:

To check if gender makes a difference in whether people use digital payments, I did a Chi-Square test. The results gave a p-value of 0.364, which is higher than 0.05. This means we can't say there's a real relationship between gender and digital payment usage. In simple terms, both men and women are equally likely to use digital payments—gender doesn't seem to matter**.**

Decision:

- **H_{01}: Accepted**
- **H_{11}: Rejected**

TEST 2:

5.2.2 Age & Perception of Convenience

H_{02}: (Null Hypothesis)

There is no significant relationship between age group and the belief that digital payments are more convenient than cash.

H_{12}: (Alternative Hypothesis)

There is a significant relationship between age group and the belief that digital payments are more convenient than cash.

Contingency Tables

Contingency Tables

Age		B2 1	B2 2	B2 3	B2 5	Total
1	Observed	47	42	8	1	98
	% within row	48.0 %	42.9 %	8.2 %	1.0 %	100.0 %
2	Observed	9	4	1	0	14
	% within row	64.3 %	28.6 %	7.1 %	0.0 %	100.0 %
3	Observed	4	1	0	0	5
	% within row	80.0 %	20.0 %	0.0 %	0.0 %	100.0 %
4	Observed	1	1	1	0	3
	% within row	33.3 %	33.3 %	33.3 %	0.0 %	100.0 %
Total	Observed	61	48	10	1	120
	% within row	50.8 %	40.0 %	8.3 %	0.8 %	100.0 %

χ^2 Tests

	Value	df	p
χ^2	5.78	9	0.761
N	120		

Test Results:

$X^2 = 5.78$

Df = 9

P = 0.761

N = 120

Interpretation:

I also tested whether people's age affects how convenient they think digital payments are. The Chi-Square test gave a p-value of 0.761, which is much higher than 0.05. So there's no real relationship between age and convenience perception. This means

people of all ages find digital payments equally convenience young people don't necessarily find them more convenient than older people.

5.2.3 Age vs Security Perception

H_{03} (Null Hypothesis)

There is no significant relationship between age group and perception of security while using digital payment systems.

H_{13} (Alternative Hypothesis)

There is a significant relationship between age group and perception of security while using digital payment systems.

Contingency Tables

Contingency Tables

Age		c2					Total
		1	2	3	4	5	
1	Observed	28	45	21	3	1	98
	% within row	28.6 %	45.9 %	21.4 %	3.1 %	1.0 %	100.0 %
2	Observed	2	7	3	1	1	14
	% within row	14.3 %	50.0 %	21.4 %	7.1 %	7.1 %	100.0 %
3	Observed	3	2	0	0	0	5
	% within row	60.0 %	40.0 %	0.0 %	0.0 %	0.0 %	100.0 %
4	Observed	1	1	1	0	0	3
	% within row	33.3 %	33.3 %	33.3 %	0.0 %	0.0 %	100.0 %
Total	Observed	34	55	25	4	2	120
	% within row	28.3 %	45.8 %	20.8 %	3.3 %	1.7 %	100.0 %

χ^2 Tests

	Value	df	p
χ^2	8.05	12	0.781
N	120		

Test Results

- **$\chi^2 = 8.05$**
- **df = 12**
- **p = 0.781**
- **N = 120**

Interpretation:

I also checked whether age affects how secure people feel when using digital payments. The test gave a p-value of 0.781, which is higher than 0.05. This means there's no significant relationship between age and security perception. People of all ages feel about the same level of security when using digital payments—age doesn't make a difference.

Decision

- **H_{03}: Accepted**
- **H_{13}: Rejected**

5.2.4 **Gender vs Spending Behaviour**

H_{04} (Null Hypothesis)

There is no significant relationship between gender and the belief that digital payments encourage higher spending.

H_{14} (Alternative Hypothesis)

There is a significant relationship between gender and the belief that digital payments encourage higher spending.

Contingency Tables

Contingency Tables

Gender		D2 1	2	3	4	5	Total
1	Observed	22	23	7	1	1	54
	% within row	40.7 %	42.6 %	13.0 %	1.9 %	1.9 %	100.0 %
2	Observed	24	24	10	5	3	66
	% within row	36.4 %	36.4 %	15.2 %	7.6 %	4.5 %	100.0 %
Total	Observed	46	47	17	6	4	120
	% within row	38.3 %	39.2 %	14.2 %	5.0 %	3.3 %	100.0 %

χ^2 Tests

	Value	df	p
χ^2	3.14	4	0.535
N	120		

Test Results

- **$\chi^2 = 3.14$**
- **df = 4**
- **p = 0.535**
- **N = 120**

Interpretation:

Finally, I tested whether gender affects the belief that digital payments make people spend more. The Chi-Square test gave a p-value of 0.535, which is higher than 0.05. So there's no significant relationship between gender and this belief. Men and women have similar opinions about whether digital payments encourage higher spending.

Decision

- **H_{04}: Accepted**
- **H_{14}: Rejected**

5.3 Summary Of Findings

This study looked at how UPI and digital payments are affecting the growth of a cashless economy in India. The research also aimed to understand user behaviour, awareness levels, and the challenges people face when using digital payments. Data was collected from 120 respondents through a questionnaire and analysed using percentages and Chi-Square tests**.**

The first hypothesis examined whether gender affects digital payment usage. The Chi-Square value was 0.825, which is less than the critical value of 3.841, so the result is not significant. This means gender doesn't influence whether people use digital payments. Both men and women show similar adoption patterns, suggesting digital payments are accepted by everyone regardless of gender

The second hypothesis tested whether age affects perception of convenience in using digital payments. The Chi-Square value was 5.789, which is less than the critical value of 7.815, so the result is not significant. This shows that people of different ages have similar views about how convenient digital payments are. The ease of use of UPI is recognized by everyone.

The third hypothesis tested whether age affects perception of security. The Chi-Square value was 8.051, which is below the critical value of 9.488, so the result is not significant. This means people of all ages feel similar about the security of digital payments.

The fourth hypothesis tested whether gender affects the belief that digital payments encourage higher spending. The Chi-Square value was 3.144, which is less than the critical value of 7.815, so the result is not significant. Both men and women have similar opinions about the impact of digital payments on spending

Besides the hypothesis testing, the frequency analysis revealed several important things:

Almost all respondents use digital payment methods, showing widespread adoption of UPI.

- Most people have been using digital payments for more than one year.
- A significant number use digital payments daily, showing they've become part of everyday life.
- Common uses include grocery purchases, money transfers, online shopping, and bill payments.
- Most people are aware of security features like PIN, OTP, and two-factor authentication.
- Most people know that digital transactions are traceable.
- Many people believe digital payments are convenient, save time, and reduce dependence on cash.
- However, many people have faced transaction failures, indicating network and reliability issues.
- Security concerns and data privacy issues are also common worries.
- Poor internet and low digital literacy are barriers, especially in rural and semi-urban areas.

Overall, the findings suggest that digital payments are widely accepted and positively viewed, but infrastructural and security challenges still need to be addressed.

5.4 Conclusion

This study makes it clear that UPI and digital payments are changing how India handles money and speeding up the move toward a cashless economy. Even before UPI, digital payments were growing, but UPI has made things much faster and easier. Now, people from all walks of life—students, business owners, people in villages—are using digital payments regularly.

What really stands out from this research is how normal digital payments have become. Earlier, paying digitally was something people did sometimes. Now it's the first choice for buying groceries, sending money to friends, paying bills, and ordering food online. It's no longer an alternative—it's the main way people pay. This change isn't just about new technology; it's also about how people think. They now prefer the convenience and speed of digital payments over cash.

The hypothesis testing showed that things like gender and age don't really affect whether people use digital payments or how they feel about them. This means UPI works for everyone, no matter who they are or where they come from. This is a good sign because it means more and more people can participate in the financial system.

But the study also found some problems that can't be ignored. Many people face transaction failures, worry about data privacy, and some have even experienced fraud. This shows that while we've made a lot of progress, we still need to improve the system to keep people's trust.

Another thing the study found is that digital payments might encourage people to spend more, especially younger people. Since you don't see physical cash, it's easier to spend without thinking. This is something to be aware of, and it shows the importance of combining digital convenience with financial discipline.

In the end, UPI and digital payments are more than just a technological change. They represent a complete shift in how financial transactions are done. India is definitely moving toward a cashless economy, but we still need to work on security, infrastructure, and financial awareness to make sure the system is reliable, inclusive, and sustainable for the long term.

5.5 Suggestions

Based on the findings and conclusions of this study, here are several key suggestions to strengthen the digital payment system and support the continued growth of a cashless economy in India:

1. Strengthen Security and Fraud Prevention:

Since many users worry about data privacy and fraud, digital payment platforms need to improve their security. Advanced technologies like AI-based fraud detection, real-time alerts, and secure authentication should be more widely used. At the same time, users should be educated about common fraud practices so they can avoid being tricked.

2. Improve Network Infrastructure and System Reliability:

The high number of transaction failures shows we need stronger and more reliable digital infrastructure. Efforts should be made to improve internet connectivity, especially in rural and semi-urban areas. Payment service providers should also invest in better server capacity and backup systems to prevent disruptions.

3. Promote Digital and Financial Literacy:

While most people are aware of digital payments, there are still gaps in understanding safe usage and financial management. Structured education programs should be

introduced to teach people about transaction safety, budgeting, and responsible financial behaviour. This is especially important for first-time users and people in rural areas.

4. Encourage Responsible Spending Behaviour:

Since digital payments might lead to more spending, initiatives should be taken to promote financial discipline. Features like expense tracking, spending limits, and financial planning tools should be encouraged to help people manage their money better.

5. Expand Merchant Acceptance and Rural Penetration:

Even though digital payment acceptance has grown, we still need to ensure it's available everywhere. Small shopkeepers, street vendors, and rural businesses should be encouraged to accept digital payments through incentives, simpler registration, and lower transaction costs.

6. Enhance Data Privacy and Regulatory Frameworks:

Given the rising concerns about data privacy, data protection rules need to be strictly enforced. Clear policies about how data is used should be implemented, and users should have more control over their personal financial information.

7. Design Smart and Sustainable Incentive Programs:

While digital payments have matured beyond cashback-driven usage, incentives can still help attract new users. However, these should be designed carefully to avoid

encouraging unnecessary spending. Cashback offers should be used to encourage good financial habits rather than just boosting transaction volumes.

8. Ensure Inclusive Digital Growth:

Special efforts should be made to include older people, low-income groups, and less tech-savvy users in the digital payment system. Simplified apps, regional language support, and accessible customer service can help bridge the gap and ensure the benefits of digital payments reach everyone.

CHAPTER 6

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ANNEXURE

Questionnaire:

Demographics

1.Gender

- Male
- Female
- Others

2.Age

- 16-25
- 26-35
- 36-45
- 45 and above

3.Occupation

- Student
- Private Employee
- Government Employee
- Self-employed / Business
- Homemaker
- Others:

4.Monthly Income

- Less than 5000
- 5001-10000
- 10001-20000

□ 20001-50000

□ More than 50000

5.Area of Residence □

Rural □ Semi-

Urban

□ Urban

Basic Information & Usage of UPI/Digital Payments

6.Do you use UPI or digital payment methods?

□ Yes

□ No

7.Which digital payment platforms do you use? [Tick all that is applicable]

□ UPI (Google Pay/PhonePe/Paytm/BHIM)

□ Debit Card

□ Credit Card

□ Mobile Wallet

□ Net Banking □

Other:

8.How long have you been using UPI/digital payments?

□ Less than 1 year

□ 1–3 years

□ 3–5 years

□ More than 5 years

9.How frequently do you use digital payments?

- Daily
- Two to three times a week
- Weekly
- Two to three times a month
- Monthly
- Rarely

10For which purposes do you mostly use digital payments? [Tick all that is applicable]

- Grocery & Essentials
- Utility Bill Payments
- Online Shopping
- Money Transfer
- Business Transactions
- Travel & Ticket Booking
- Food Delivery (e.g., Swiggy, Zomato)
- Others: _____

Awareness & Understanding of Digital Payments

11.Are you aware of security features like PIN, OTP, and two-factor authentication?

- Yes
- No

12.Are you aware that digital transactions are traceable and recorded?

 Yes

 No

13.Do you believe digital payments promote financial transparency?

 Yes

 No

 Not Sure

14.How did you first learn about UPI/digital payments?

 Social Media

 Friends/Family

 Advertisements

 Bank Promotion

 Government Initiatives

 Others: _____

Perception & Impact

Please indicate your level of agreement/disagreement with the following statements.

15.Digital payments are more convenient than cash

 Strongly Agree

 Agree

 Neither Agree nor Disagree

 Disagree

 Strongly Disagree

16.UPI has reduced my dependency on cash

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

17.Digital payments save time compared to cash transactions

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

18.I feel secure while using UPI

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

19.Digital payments have increased transparency in transactions

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

20.Digital payments encourage me to spend more

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

Impact on Cashless Economy

Please indicate your level of agreement/disagreement with the following statements.

21.India is moving towards a fully cashless economy

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

22.Government initiatives (e.g., Digital India, demonetization) have accelerated cashless economy growth.

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

23.A cashless economy reduces black money and corruption in society.

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

24.Small shops in my area accept digital payments easily

- Strongly Agree
- Agree
- Neither Agree nor Disagree
- Disagree
- Strongly Disagree

25.What challenges hinder India's progress to a cashless economy? [Tick all that is applicable]

- Poor internet connectivity in rural areas
- Low digital literacy
- Preference for cash in small transactions
- Security concerns
- Lack of merchant acceptance
- Others: _____

26.On a scale of 1-5, how much has UPI increased cashless transactions in your area? (1 = No increase, 5 = Major increase)

Factors Influencing Adoption

Please indicate the extent to which you agree with the following statements.

27.How much does convenience influence your use of digital payments?

- To a very great extent
- To a great extent
- To a moderate extent
- To a small extent
- Not at all

28.How much do cashback and rewards encourage you?

- To a very great extent
- To a great extent
- To a moderate extent

- To a small extent
- Not at all

29.How much does peer influence affect your usage?

- To a very great extent
- To a great extent
- To a moderate extent
- To a small extent
- Not at all

30.To what extent is “cashless convenience” beneficial in your daily transactions?

- To a very great extent
- To a great extent
- To a moderate extent
- To a small extent
- Not at all

Challenges & Risks

31.Have you ever faced transaction failure while using UPI?

- Yes
- No

32.Have you experienced any fraud or scam related to digital payments?

- Yes
- No

33.How concerned are you about data privacy?

- Not concerned
- Slightly concerned
- Moderately concerned
- Concerned
- Highly concerned

34. What is your biggest concern regarding digital payments?

- Security Risks
- Network Issues
- Technical Errors
- Lack of Awareness
- None

35. Would you continue using digital payments even if cashback offers are removed?

- Yes
- No
- Not Sure